

Hot CPI Pauses Tech

S&P -0.15% as April CPI prints 3.8% YoY, hottest annual reading since May 2023. Nasdaq -0.70% . QCOM -11.46% leads semi pullback after Monday's record close.

THE SESSION

The CPI print Monday's record close set up arrived hot, and the tape paid the tax. Headline April CPI rose 0.6% month-over-month and 3.8% year-over-year, both above the 3.7% consensus, with energy contributing roughly 40% of the gain on gasoline up 28.4% annually. Core ticked to 2.8% YoY against 2.7% expected. The S&P 500 closed at 7,401.63 (-0.15%), the Nasdaq Composite at 26,090.30 (-0.70%), and the Russell 2000 at 2,842.84 (-0.97%); the Dow finished modestly higher at 49,760.55 ($+0.11\%$) on the defensive bid. The composition told the story: large-cap value held, growth pulled back, and the inflation tax landed where it was always going to land first.

Semiconductors absorbed the bulk of the repricing. QCOM declined 11.46% to \$210.31 after Monday's 8.42% record close near \$237.53, marking the largest single-day reversal in the name since 2020 per CNBC reporting. The sector context: a hot CPI argues against near-term rate cuts and re-rates high-duration growth equities; per Trump's public commentary and Reuters reporting, the U.S.-Iran ceasefire remains under strain after the May 7 incident in which three U.S. destroyers were targeted in the Strait of Hormuz. Brent and WTI proxies in the holdings showed continued energy strength, though today's rotation was muted relative to Monday's 3.6% Brent move.

Under the surface, the Dividend Strategy did its job. Defensive medical (SYK $+4.48\%$, ABT $+2.17\%$, CHD $+3.19\%$), industrials with backlog (TEL $+3.69\%$, LMT $+1.71\%$), and steady payroll (ADP $+1.01\%$) carried the strategy through what was, on the Growth side, a more difficult tape. VIX closed at 17.94 (-2.39%), a notable detail — the move was a rotation, not a regime change. Gold eased to \$4,717.30 (-0.24%) and bitcoin softened to \$80,783 (-1.15%) as the dollar firmed on the hawkish CPI

implication.

IOWN Tactical: A hot inflation print that the VIX takes in stride at 17.94 is the market telling us this is repositioning, not panic. The Dividend Strategy's outperformance against the Growth Portfolio today reaffirms the diversification thesis at the strategy level. Research Reveals Opportunities.

IOWN HOLDINGS: NOTABLE MOVERS

WINNERS

HUT $+4.99\%$ GROWTH PORTFOLIO

Bitcoin miner-to-AI infrastructure thesis continued; Beacon Point lease and AMD Rockdale expansion read through on the day even as broader crypto names softened. Closed at \$107.29.

SYK $+4.48\%$ DIVIDEND STRATEGY

Stryker rebounded toward \$295.25 as Amplitude Vascular Systems acquisition closed May 7 and the cyber-incident overhang from the March operational disruption continued to fade per the company's 10-Q.

TEL $+3.69\%$ DIVIDEND STRATEGY

TE Connectivity advanced to \$213.73 on continued AI-infrastructure connectivity demand; the industrial-connector sleeve has been a steady performer through the semi volatility.

CHD $+3.19\%$ DIVIDEND STRATEGY

Church & Dwight gained to \$93.61 on defensive consumer staples rotation; the inflation print drove flows toward pricing-power consumer names.

FCX $+2.65\%$ GROWTH PORTFOLIO

Freeport-McMoRan rose to \$66.08 as the hot CPI and copper supply backdrop kept the materials reflation trade intact.

ABT $+2.17\%$ DIVIDEND STRATEGY

Abbott Labs advanced to \$84.35 on the defensive medical bid; the name's dividend yield remains near a decade peak per Yahoo coverage.

LMT $+1.71\%$ DIVIDEND STRATEGY

Lockheed Martin gained to \$521.00 on continued Middle East FMS positioning; Hormuz exchange dynamics keep the defense bid intact.

EIX $+1.36\%$ GROWTH PORTFOLIO

Edison International rose to \$71.54; rate-sensitive utility selectively bid as the curve repriced.

ADP $+1.01\%$ DIVIDEND STRATEGY

Automatic Data Processing advanced to \$213.81 on the steady-compounder rotation; payroll-services demand continues to track full-employment dynamics.

DECLINERS

QCOM -11.46%

DIVIDEND STRATEGY

Qualcomm declined to \$210.31 on the broader semi pullback; the move erased Monday's 8.42% gain and constituted the name's largest single-day decline since 2020 per CNBC reporting, with analysts citing both the hot CPI and structural concerns around Apple share loss per TipRanks.

CTRA -8.62%

DIVIDEND STRATEGY

Coterra Energy declined to \$32.56 on continued Devon merger arb pressure and Q1 EPS miss (\$0.61 vs \$0.89 consensus) per the May 6 release; the integrated E&P repricing absorbed the bulk of the energy sleeve's relative weakness.

CRDO -5.54%

GROWTH PORTFOLIO

Credo Technology declined to \$198.57, giving back roughly half of Monday's 11.52% gain; the optical-connectivity name moved with the broader semi pullback rather than on company-specific news.

MARA -5.00%

GROWTH PORTFOLIO

MARA Holdings eased to \$12.72 on the bitcoin softness (\$80,783 close); the post-earnings rally from last week paused as the digital-asset complex cooled.

COIN -4.11%

GROWTH PORTFOLIO

Coinbase declined to \$207.70 ahead of the May 14 Senate vote on the crypto market-structure bill; the platform names softened in sympathy with bitcoin.

SUPV -4.40%

GROWTH PORTFOLIO

Grupo Supervielle (Argentinian financials) declined to \$7.82; the EM banks sleeve has shown elevated daily volatility around dollar strength.

NXPI -3.84%

GROWTH PORTFOLIO

NXP Semiconductors declined to \$294.23, part of the broad semi repricing on the hot CPI; the analog and embedded names tracked the SOXX move.

MRVL -3.71%

GROWTH PORTFOLIO

Marvell Technology declined to \$164.50; the connectivity-layer reset spread from CRDO through the data-center silicon names ahead of NVDA's May 20 print.

VST -3.14%

GROWTH PORTFOLIO

Vistra declined to \$147.27 as the rate-cut-deferred backdrop pressured the power-generation re-rate trade.

HOOD -3.11%

GROWTH PORTFOLIO

Robinhood Markets declined to \$78.27 as the retail-platform sleeve cooled with bitcoin and the broader risk-off rotation.

HOLDINGS NEWS

SYK closed the AVS acquisition. Stryker completed its May 7 acquisition of Amplitude Vascular Systems for approximately \$435 million in cash plus up to \$400 million in milestones, expanding the vascular business within MedSurg and Neurotechnology per the 10-Q filing. The deal contributes to the post-cyber-incident operational recovery narrative.

QCOM analyst pressure. Beyond the CPI-driven repricing, Tae Kim (author of The Nvidia Way) called Qualcomm the "problem child" of the current chip rally per TipRanks coverage, citing Apple share loss, Android weakness, and potential NVDA pressure on the Windows processor business. Wall Street consensus sits at Hold with nine Buys, eighteen Holds, and four Sells.

HUT 8 Beacon Point thesis intact. The 15-year, \$9.8 billion AI data-center lease announced May 6, with options to \$25.1 billion total, continues to drive the miner-to-AI infrastructure repricing per CoinDesk. Canaccord raised its price target to \$130 from \$70 last week.

CVX price target raised. Chevron received a \$12 price-target increase following Q1 results per Yahoo coverage; the energy major closed at \$185.95 (+0.66%) as the sleeve held against the broader tape.

PORTFOLIO PERFORMANCE

DIVIDEND STRATEGY

X TRAIL

-0.29%

vs. DVY +0.30% | SPY -0.15%

GROWTH PORTFOLIO

X TRAIL

-1.20%

vs. IUSG -0.33%

YEAR-TO-DATE

Dividend +12.59% vs DVY +8.17% / SPY +8.25%

Growth +11.16% vs IUSG +10.48%